

Risk Management - Key Terms Glossary

SECTION: Risk

An uncertain event or condition that, if it occurs, has a positive or negative effect on at least one project objective.

SECTION: Risk Register

A document recording identified risks, their probability, impact, response strategy, and owner.

SECTION: Probability-Impact Matrix

A grid used in qualitative risk analysis to plot risks by likelihood and severity, prioritizing which need the most attention.

SECTION: Expected Monetary Value (EMV)

Probability multiplied by impact in monetary terms, used to quantify the risk-adjusted value of a decision or contingency reserve.

SECTION: Contingency Reserve

Budget or time set aside for identified ('known unknown') risks, usually usable by the project manager without extra approval.

SECTION: Management Reserve

Budget or time held back for unforeseen ('unknown unknown') risks, typically requiring sponsor approval to access.

SECTION: Risk Appetite

The general level of risk an organization is willing to accept in pursuit of its objectives.

SECTION: Risk Tolerance

The specific range of acceptable variation around a risk that an organization or stakeholder can withstand.

SECTION: Secondary Risk

A new risk that arises directly as a result of implementing a risk response to another risk.

SECTION: Residual Risk

The risk that remains after response strategies have been applied.